Absa Bank Kenya PLC

The Board of Directors of Absa Bank Kenya PLC is pleased to announce the unaudited group results for the period ended 30 September 2020

	Bank					Group				
	September 2019 Shs '000 Unaudited	December 2019 Shs '000 Audited	March 2020 Shs '000 Unaudited	June 2020 Shs '000 Unaudited	September 2020 Shs '000 Unaudited	September 2019 Shs '000 Unaudited	December 2019 Shs '000 Audited	March 2020 Shs '000 Unaudited	June 2020 Shs '000 Unaudited	September 2020 Shs '000 Unaudited
I Statement of financial position										
A Assets										
1 Cash balances (both local and foreign)	4,716,945	7,091,076	6,017,150	5,067,749	5,132,737	4,716,945	7,091,076	6,017,150	5,067,749	5,132,737
2 Balances due from Central Bank of Kenya	18,138,243	21,716,447	16,307,091	20,938,548	13,861,224	18,138,243	21,716,446	16,307,091	20,938,548	13,861,224
3 Kenya Government and other securities held for dealing purposes	41,649,808	43,774,296	43,114,786	41,857,346	39,357,023	41,649,808	43,774,296	43,114,786	41,857,346	39,357,023
4 Financial assets at fair value through profit and loss	-	-	-	-	-	-	-	-	-	-
5 Investment Securities:	-	-	-	-	-	-		-	-	-
a) Held to Maturity:	-	-	-	-	-	-		-	-	-
a. Kenya Government securities	-	-	-	-	-	-	-	-	-	-
b. Other securities	-	-	-	-	-	-	-	-	-	-
b) Fair value through other comprehensive income (FVOCI)	76,416,227	78,785,265	81,850,333	91,574,036	94,186,571	76,844,825	79,221,471	82,267,415	92,013,288	94,664,321
a. Kenya Government securities	76,416,227	78,785,265	81,850,333	91,574,036	94,186,571	76,844,825	79,221,471	82,267,415	92,013,288	94,664,321
b. Other securities	-	-	-	-	-	-	-	-	-	-
6 Deposits and balances due from local banking Institutions	-	2,000,000	525,750	1,716	-	-	2,000,000	525,750	1,716	-
7 Deposits and balances due from banking Institutions abroad	993,320	1,803,084	1,526,623	3,319,536	5,766,937	993,320	1,803,084	1,526,623	3,319,536	5,766,937
8 Tax recoverable	141,883	292,160	-	1,904,867	1,699,837	208,877	424,950	-	2,027,389	1,821,485
9 Loans and advances to customers (net)	194,193,949	194,894,941	202,959,640	201,948,138	209,248,439	194,193,949	194,894,941	202,959,640	201,948,138	209,248,439
10 Balances due from banking institutions in the group	9,238,148	9,203,788	13,139,854	9,412,380	3,088,735	9,238,148	8,702,992	12,648,041	8,867,613	2,479,484
11 Investment in associates	-	-	-	-	-	-	-	-	-	-
12 Investment in subsidiary companies	362,761	372,761	372,761	422,751	427,751	-	-	-	-	-
13 Investment in joint ventures	-	-	-	-	-	-	-	-	-	-
14 Investment properties	-	-	-	-	-	-	-	-	-	-
15 Property and equipment	2,802,073	2,889,187	3,349,411	3,228,565	2,993,391	2,802,303	2,889,401	3,349,609	3,228,748	2,993,559
16 Prepaid operating rental leases	35,563	35,299	35,299	34,725	34,421	35,563	35,299	35,299	34,725	34,421
17 Intangible assets	598,623	538,836	453,966	364,530	295,909	678,227	617,994	532,486	440,707	369,742
18 Deferred tax	2,516,560	3,097,482	2,928,757	2,424,391	2,081,108	2,544,254	3,123,014	2,964,893	2,456,432	2,119,253
19 Retirement benefit asset	98,013	-	-	-	-	98,013	-	-	-	-
20 Other assets	7,869,312	7,614,578	9,111,535	9,518,426	9,879,619	7,622,616	7,686,827	9,271,976	9,676,906	10,018,099
21 Total asset	**359,771,428**	**374,109,200**	**381,692,956**	**392,017,704**	**388,053,702**	**359,765,091**	**373,981,791**	**381,520,759**	**391,878,841**	**387,866,724**
B Liabilities										
22 Balances due to Central Bank of Kenya	-	-	-	-	-	-	-	-	-	-
23 Customers' deposits	235,747,978	238,291,230	239,406,298	249,714,021	247,718,272	235,410,087	237,738,654	238,713,526	248,745,829	246,551,468
24 Deposits and balances due to banking institutions (local)	3,039,324	3,753,767	2,766,843	5,638,863	10,589,011	3,039,324	3,753,767	2,766,843	5,638,863	10,589,011
25 Deposits and balances due to Banking institutions (foreign)	358,084	329,655	2,129,849	520,673	480,797	358,084	329,655	2,129,849	520,673	480,797
26 Other money market deposits	-	-	-	-	-	-	-	-	-	-
27 Borrowed funds	-	-	-	-	-	-	-	-	-	-
28 Balances due to banking institutions in the group	60,138,197	72,688,316	74,619,285	76,105,247	68,819,162	60,138,197	71,977,669	73,846,688	75,440,994	68,374,620
29 Tax payable	-	-	431,564	-	-	-	-	350,773	-	-
30 Dividends payable	1,086,307	-	4,888,382	-	-	1,086,307	-	4,888,382	-	-
31 Deferred tax liability	-	-	-	-	-	-	-	-	-	-
32 Retirement benefit liability	-	-	5,126	16,518	21,644	-	-	5,126	16,518	21,644
33 Other liabilities	16,434,063	14,966,818	16,388,249	18,346,796	17,209,711	15,735,558	14,992,630	16,533,186	18,524,677	17,226,902
34 Total liabilities	**316,803,953**	**330,029,786**	**340,635,596**	**350,342,118**	**344,838,597**	**315,767,557**	**328,792,375**	**339,234,373**	**348,887,554**	**343,244,442**
C Shareholders' funds										
35 Paid up / assigned capital	2,715,768	2,715,768	2,715,768	2,715,768	2,715,768	2,715,768	2,715,768	2,715,768	2,715,768	2,715,768
36 Share premium / (discount)	-	-	-	-	-	-	-	-	-	-
37 Revaluation reserves	920,099	275,528	305,421	1,159,942	1,510,812	928,424	281,247	306,767	1,168,730	1,517,520
38 Retained earnings / (accumulated losses)	39,134,359	35,990,855	37,823,328	37,595,951	38,836,687	40,156,093	37,095,138	39,051,008	38,902,864	40,237,156
39 Statutory loan loss reserve	-	-	-	-	-	-	-	-	-	-
40 Other reserves	197,249	208,881	212,843	203,925	151,838	197,249	208,881	212,843	203,925	151,838
41 Proposed dividend	-	4,888,382	-	-	-	-	4,888,382	-	-	-
42 Capital grants	-	-	-	-	-	-	-	-	-	-
43 Total shareholders' funds	**42,967,475**	**44,079,414**	**41,057,360**	**41,675,586**	**43,215,105**	**43,997,534**	**45,189,416**	**42,286,386**	**42,991,287**	**44,622,282**
44 Minority interest	-	-	-	-	-	-	-	-	-	-
45 Total liabilities and total shareholders funds	**359,771,428**	**374,109,200**	**381,692,956**	**392,017,704**	**388,053,702**	**359,765,091**	**373,981,791**	**381,520,759**	**391,878,841**	**387,866,724**
II Statement of comprehensive income										
1.0 Interest income										
1.1 Loans and advances to customers	16,494,696	22,544,646	5,468,471	10,873,912	16,366,038	16,494,696	22,544,646	5,468,471	10,873,912	16,366,038
1.2 Government securities	6,078,784	8,065,268	2,072,110	4,297,956	6,657,427	6,104,808	8,101,769	2,082,473	4,318,682	6,691,300
1.3 Deposits and placements with banking institutions	295,936	377,506	69,357	124,985	157,665	295,936	377,506	69,357	124,985	157,665
1.4 Other interest income	-	-	-	-	-	-	-	-	-	-
1.5 Total interest income	**22,869,416**	**30,987,420**	**7,609,938**	**15,296,853**	**23,181,130**	**22,895,440**	**31,023,921**	**7,620,301**	**15,317,579**	**23,215,003**
2.0 Interest expenses										
2.1 Customer deposits	5,025,588	6,466,845	1,538,216	3,193,841	4,838,218	5,025,588	6,454,616	1,528,850	3,173,109	4,802,244
2.2 Deposits and placements with banking institutions	941,349	1,255,049	411,369	748,476	1,178,099	938,344	1,252,044	411,369	748,476	1,178,099
2.3 Other interest expenses	100,580	138,722	47,552	91,575	133,277	100,580	138,722	47,552	91,575	133,277
2.4 Total interest expenses	**6,067,517**	**7,860,616**	**1,997,137**	**4,033,892**	**6,149,594**	**6,064,512**	**7,845,382**	**1,987,771**	**4,013,160**	**6,113,620**
3.0 Net interest income	**16,801,899**	**23,126,804**	**5,612,801**	**11,262,961**	**17,031,536**	**16,830,928**	**23,178,539**	**5,632,530**	**11,304,419**	**17,101,383**
4.0 Non-interest income										
4.1 Fees and commissions income on loans & advances	1,064,135	1,410,349	390,703	695,772	959,866	1,064,135	1,410,349	390,703	695,772	959,866
4.2 Other fees and commissions	3,124,267	4,125,135	902,201	1,714,752	2,524,096	3,558,125	4,710,388	1,125,756	2,119,915	3,166,433
4.3 Foreign exchange trading income	2,711,259	3,640,577	1,143,129	2,061,768	3,220,917	2,711,259	3,640,577	1,143,129	2,061,767	3,220,917
4.4 Dividend income	-	-	-	-	-	-	-	-	-	-
4.5 Other income	619,467	841,964	313,056	634,051	968,073	619,467	826,998	309,315	631,633	961,834
4.6 Total non-interest income	**7,519,128**	**10,018,025**	**2,749,089**	**5,106,343**	**7,672,952**	**7,952,986**	**10,588,312**	**2,968,903**	**5,509,087**	**8,309,050**
5.0 Total operating income	**24,321,027**	**33,144,829**	**8,361,890**	**16,369,304**	**24,704,488**	**24,783,914**	**33,766,851**	**8,601,433**	**16,813,506**	**25,410,433**
6.0 Operating expenses										
6.1 Loan loss provision	3,078,597	4,199,411	1,114,502	5,383,999	7,596,857	3,079,075	4,200,588	1,115,689	5,384,951	7,597,062
6.2 Staff costs	7,222,416	9,999,145	2,431,687	4,888,712	7,255,344	7,336,803	10,158,447	2,491,078	5,019,598	7,476,301
6.3 Directors emoluments	125,971	172,623	45,013	95,250	164,022	130,590	178,783	47,241	100,388	171,770
6.4 Rental charge	34,127	92,887	23,734	40,855	93,482	34,611	93,371	23,734	40,855	93,482
6.5 Depreciation on property and equipment	801,236	1,069,667	263,810	507,713	742,378	801,236	1,069,728	263,826	507,743	742,424
6.6 Amortisation charges	292,010	391,749	99,731	195,556	293,827	292,010	392,501	102,046	200,214	300,828
6.7 Other operating expenses	3,985,031	5,361,876	1,113,559	2,272,488	3,624,407	4,016,593	5,392,198	1,127,552	2,300,290	3,693,104
6.8 Total operating expenses	**15,539,388**	**21,287,358**	**5,092,036**	**13,384,573**	**19,770,317**	**15,690,918**	**21,485,616**	**5,171,166**	**13,554,039**	**20,074,971**
7.0 Profit before tax and exceptional items	**8,781,639**	**11,857,471**	**3,269,854**	**2,984,731**	**4,934,171**	**9,092,996**	**12,281,235**	**3,430,267**	**3,259,467**	**5,335,462**
8.0 Exceptional items	910,285	1,528,986	552,056	1,666,929	1,944,274	910,285	1,528,986	552,056	1,666,929	1,944,274
9.0 Profit after exceptional items	**7,871,354**	**10,328,485**	**2,717,798**	**1,317,802**	**2,989,897**	**8,182,711**	**10,752,249**	**2,878,211**	**1,592,538**	**3,391,188**
10 Current tax	(2,966,960)	(3,884,767)	(728,269)	(525,959)	(730,990)	(3,076,880)	(4,021,267)	(775,159)	(606,194)	(849,636)
11 Deferred tax	442,787	717,727	(155,942)	(404,367)	(630,694)	453,433	725,095	(147,184)	(397,352)	(618,268)
12 Profit after tax and exceptional items	**5,347,181**	**7,161,445**	**1,833,587**	**387,476**	**1,628,213**	**5,559,264**	**7,456,077**	**1,955,868**	**588,992**	**1,923,284**
13 Other comprehensive income										
13.1 Gains/(losses) from translating the financial statements of foreign operations	-	-	-	-	-	-	-	-	-	-
13.2 Fair value changes in FVOCI financial assets	559,204	(361,612)	42,704	1,153,166	1,620,992	569,239	(355,299)	36,457	1,156,712	1,621,766
13.3 Revaluation surplus on property, plant and equipment	-	-	-	-	-	-	-	-	-	-
13.4 Share of other comprehensive income of associates	-	-	-	-	-	-	-	-	-	-
13.5 Income tax relating to components of other comprehensive income	(167,761)	108,484	(12,811)	(268,751)	(385,708)	(170,772)	106,590	(10,937)	(269,229)	(385,493)
14 Other comprehensive Income for the year net of tax	**391,443**	**(253,128)**	**29,893**	**884,415**	**1,235,284**	**398,467**	**(248,709)**	**25,520**	**887,483**	**1,236,273**
15 Total comprehensive income for the year	**5,738,624**	**6,908,317**	**1,863,480**	**1,271,891**	**2,863,497**	**5,957,731**	**7,207,368**	**1,981,388**	**1,476,475**	**3,159,557**
Earnings per share (Shs)	**0.98**	**1.32**	**0.34**	**0.07**	**0.30**	**1.02**	**1.37**	**0.36**	**0.11**	**0.35**
Dividends per share (Shs)	**-**	**1.10**	**-**	**-**	**-**	**-**	**1.10**	**-**	**-**	**-**

	Group				
	September 2019 Shs '000 Unaudited	December 2019 Shs '000 Audited	March 2020 Shs '000 Unaudited	June 2020 Shs '000 Unaudited	September 2020 Shs '000 Unaudited
III Other disclosures					
1) Non-performing loans and advances					
a) Gross non-performing loans and advances	13,878,998	13,518,692	17,334,399	17,012,548	16,771,698
b) Less: Interest in suspense	2,925,717	2,601,418	2,378,272	2,439,830	2,476,987
c) Total non-performing loans and advances	10,953,281	10,917,274	14,956,127	14,572,718	14,294,711
d) less: loan loss provisions	7,987,466	7,807,800	8,794,546	8,378,762	8,406,400
e) Net non-performing loans (c-d)	2,965,815	3,109,474	6,161,581	6,193,956	5,888,311
f) Discounted value of securities	2,051,433	1,981,629	2,097,740	4,372,214	4,089,382
g) Net NPLs (excess) / exposure (e-f)	914,382	1,127,845	4,063,841	1,821,742	1,798,929
2) Insider loans and advances					
a) Directors, shareholders and associates	39,340	39,330	38,796	38,233	37,639
b) Employees	10,337,436	10,340,168	10,264,813	10,233,863	10,310,882
c) Total insider loans and advances	10,376,776	10,379,498	10,303,609	10,272,096	10,348,521
3) Off Balance sheet items					
a) Letters of credit, guarantees, acceptances	19,527,393	23,208,133	22,428,834	25,197,336	31,693,947
b) Forwards, swaps and options	84,507,659	103,646,010	105,254,274	119,490,552	109,658,870
c) Other contingent liabilities	-	-	-	-	
d) Total contingent liabilities	104,035,052	126,854,143	127,683,108	144,687,888	141,352,817
4) Capital strength					
a) Core capital	39,176,413	38,706,623	39,622,302	40,117,982	40,738,348
b) Minimum statutory capital	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000
c) Excess / (deficiency)	38,176,413	37,706,623	38,622,302	39,117,987	39,738,348
d) Supplementary capital	5,192,371	7,601,251	7,886,246	7,994,999	8,133,748
e) Total capital	44,368,784	46,307,874	47,508,548	48,112,981	48,872,096
f) Total risk weighted assets	275,545,574	277,812,947	288,089,488	291,125,988	296,643,426
g) Core capital / total deposit liabilities	16.7%	16.3%	16.6%	16.2%	16.6%
h) Minimum statutory ratio	8.0%	8.0%	8.0%	8.0%	8.0%
i) Excess / (deficiency)	8.7%	8.3%	8.6%	8.2%	8.6%
j) Core capital / total risk weighted assets	14.2%	13.9%	13.8%	13.8%	13.7%
k) Minimum statutory ratio	10.5%	10.5%	10.5%	10.5%	10.5%
l) Excess / (deficiency)	3.7%	3.4%	3.3%	3.3%	3.2%
m) Total capital / total risk weighted assets	16.1%	16.6%	16.5%	16.5%	16.5%
n) Minimum statutory ratio	14.5%	14.5%	14.5%	14.5%	14.5%
o) Excess / (deficiency)	1.6%	2.1%	2.0%	2.0%	2.0%
p) Adjusted core capital/total deposit liabilities*	17.2%	16.8%	17.0%	16.3%	16.7%
q) Adjusted core capital/total risk weighted assets*	14.7%	14.3%	14.0%	13.9%	13.8%
r) Adjusted total capital/total risk weighted assets*	16.7%	17.0%	16.7%	16.7%	16.6%
5) Liquidity					
a) Liquidity ratio	39.6%	39.8%	37.9%	39.1%	36.4%
b) Minimum statutory ratio	20.0%	20.0%	20.0%	20.0%	20.0%
c) Excess / (deficiency)	19.6%	19.8%	17.9%	19.1%	16.4%

Message from the Directors:

Our transition to Absa has been successfully completed on time and on budget, having migrated all our technology systems and rebranded all business assets to Absa. To ensure that financial performance is comparable and to report the progress of the underlying business, KES 1.9 billion has been reported as an exceptional item, relating to the cost incurred in the transition project. The Bank will continue upgrading to more advanced systems, which will ultimately help enhance the service experience.

Performance highlights

Our financial performance is a testament of our resilience and sustainable performance into the future having recorded a pre-provision profit growth of 6% to KES 12.9 billion against a background of a challenging local and global macro-economic environment.

The drop in PBT is attributable to growth in impairment in light of the higher credit risk due to the economic effects of the Covid-19 pandemic and guided by the IFRS standards. We have taken high provisions to position for future potential deterioration in the macro-economic environment.

In this period, the bank offered loan relief and restructures totaling KES 63 billion to customers, equivalent to 30% of net customer loans and advances. As a responsible lender, we passed the benefits of the reduction in CBR to our customers to give them the much-needed relief in this period.

The statement of financial position, the statement of comprehensive income and the disclosures presented above have been prepared from the financial records of the bank and its subsidiaries. These published statements are also available on the bank's website **www.absabank.co.ke** and at its headquarters on Waiyaki Way, Nairobi.

The board approved them on Wednesday 18th November, 2020 and signed on its behalf by:

Chairman Charles Muchene

Managing Director Jeremy Awori

On 7 February 2020 Barclays Bank Kenya changed its name to Absa Bank Kenya PLC. Absa Bank Kenya PLC company registration no.C18208 is regulated by the Central Bank Of Kenya.